Independent appraisal valuation of the common stock of

EXOS Aerospace Systems & Technologies, Inc.

- Final Report -

Valuation Date	May 31, 2025
Expiration Date	May 31, 2026
Report Date	June 12, 2025

Prepared by: Eqvista

TABLE OF CONTENTS

SUMMARY OF FINDINGS 4

Purpose and Scope 4
Summary of Findings 4

INTRODUCTION 5

Standard of Value 5
Level of Value 5
Premise of Value 5
Source of Information 6
IRC SECTION §409A 7

OVERVIEW OF VALUATION 8

CORPORATE PROFILE 9

Products and Services 9
Management Team 10
Capitalization Table 10

INDUSTRY REPORT 11

Market Drivers 11
Market Segmentation 12
Opportunities 12
Challenges 13

NATIONAL ECONOMY 14

VALUATION METHODOLOGY OVERVIEW 15

Valuation Approach 16
Valuation Analyst's Decision 17

THE INCOME APPROACH 18

Discount And Capitalization Rates 18
Discounted Future Benefits Method 20

THE MARKET APPROACH 23

Guideline Public Company Method 23

RECONCILIATION OF VALUE 25

ALLOCATION OF EQUITY 26

Option Pricing Method 26

CONCLUSION OF VALUE 27

PREMIUMS AND DISCOUNTS 28

VALUATION PREMIUMS AND DISCOUNTS IN GENERAL 28
Discount for Lack of Marketability 29

ASSUMPTIONS AND LIMITING CONDITIONS 30

VALUATION ANALYST'S REPRESENTATION 32

APPENDIX 1 FINANCIAL STATEMENTS 33

1.1 Consolidated Income Statement 33
1.2 Consolidated Balance Sheet 34

APPENDIX 2 GPCS INFORMATION 36

2.1 GPCs Description 36
2.2 GPCs' Trading Multiple and Financials 38
2.3 Volatility of GPCs 39

APPENDIX 3 OPTION PRICING MODEL TO ALLOCATE VALUE 40

3.1 Capitalisation Table 40
3.2 Breakpoint Analysis 40
3.3 Option Pricing Method- Option Value and Distribution of Value 41
3.4 Distribution of Value 41
3.5 Valuation of Each Equity Class 41

SUMMARY OF FINDINGS

Purpose and Scope

We have performed a valuation engagement, as that term is defined in the Statement of Professional Standards of the National Association of Certified Valuators and Analysts ("NACVA") of non-controlling and non-marketable common equity interest in EXOS Aerospace Systems & Technologies, Inc., (hereinafter referred to as the "Company"), as of May 31, 2025. This valuation was performed solely to be issued as a basis to find the fair market value of the common stock of the Company for the purposes of financial statement preparation and report. This valuation may be used for compliance purposes in accordance with the Internal Revenue Code ("IRC") section 409A, and it anticipated that the Company would use this valuation in determining a strike price of options for the subsequent appraisal. The resulting conclusion of value should not be used for any other purpose or by any other party for any purpose other than stated.

This valuation engagement was conducted in accordance with the NACVA professional standards. The estimate of value that results from a valuation engagement is expressed as a conclusion of value.

Summary of Findings

$7.06 per Common Stock

This conclusion is subject to the Statement of Assumptions and Limiting Conditions found on page 30 and to the Valuation Analyst's Representation found on page 32. We have no obligation to update this report or our conclusion of value for information that comes to our attention after the date of this report.

Eqvista Inc.



INTRODUCTION

Standard of Value

Revenue Ruling 59-60

We have valued the Company based on a fair market value standard with regards to IRS regulations set forth in Revenue Ruling 59-60 for valuing a closely held company.

According to Revenue Ruling 59-60, the term “fair market value” is defined as “the price at which property would change hands between a willing buyer and a willing seller, when the former is not under any compulsion to buy, the latter is not under any compulsion to sell, and both parties have reasonable knowledge of the relevant facts.”

Level of Value

Non-Marketability: As the Company is privately held, the transfer of its shares is subject to constraints, indicating a lack of marketability for the Company’s shares. Further details about the non-marketability issue can be found in the section titled "Discount for Lack of Marketability."

Non-Control: The awards/options being granted are on a non-controlling basis, given their limited impact on the Company's overall governance.

Conclusion: This valuation is conducted on a non-marketable and non-controlling basis.

Premise of Value

There are two fundamental bases on which a company may be valued:

1. As a going concern; and

2. As if in liquidation.

This report is based on the assumption of a going concern valuation premise.

Source of Information

The key information we have received and adopted in our valuation include:

1. The Company's Certificate of Incorporation

2. The Company's 2022-2024 and YTD 2025 Consolidated Financial Statements

3. The Company's financial projections for the upcoming 10 years

4. The Company's up-to-date cap table

5. Additional insights and information from the Management of the Company

6. Publicly available information sources (e.g. FactSet)

7. Other relevant facts and data pertinent to the valuation.

IRC SECTION §409A

Section 409A was added to the Internal Revenue Code on January 1, 2005, and issued final regulations in 2009, and outlines the rules regarding nonqualified deferred compensation plans. For private companies with stock not readily tradable on an established securities market, Section 409A seeks to determine the value of the company's stock at fair market value. Based on the fair market value by the reasonable application of a reasonable valuation method, based on the facts and circumstances of the company.

The presumption of reasonableness, or "safe harbor" methodologies, for setting up the FMV as determined by the IRS can be achieved by:

i) Independent Appraisal

A valuation conducted by a qualified independent appraiser using acceptable appraisal methods, and as of a date no longer than 12 months before the transaction date with no material change from the date of valuation to the transaction date is presumed reasonable. If these requirements are met, the burden of proof is on the IRS that the valuation performed by the independent appraiser is "grossly unreasonable".

ii) Binding Formula Presumption

This valuation method must be based on the consistent application of a single formula and transfer of shares of such class of stock, used for a binding agreement, i.e., buy-sell agreement, trade of company stock to third parties, grant of stocks and options, conversions of notes to stock, and other similar transactions for company stock.

iii) Illiquid Start-Up Presumption

A valuation made both reasonably and in good faith of a private company with business less than 10 years old, not subject to any put, call or other equivalent rights, no stock on established securities markets, not anticipating a sale, IPO or change of significant control in the next 12 months. This valuation must be performed by person with significant knowledge, education, training and at least five years of experience in relevant industries.

If the company fails to meet these requirements, the company may fail to meet the illiquid start-up presumption or not be a reasonable valuation. Therefore, the company should consider other valuation methodologies.

OVERVIEW OF VALUATION

Exhibition 1: Valuation Result Overview

Valuation Method	Valuation	Weight	Weighted Value
Income Approach	$189,105,538	50%	$94,552,769
Market Approach - Guideline Public Company Method	$143,471,118	50%	$71,735,559
Value of 100% Equity Interest in EXOS Aerospace Systems & Technologies, Inc.			**$166,288,328**

Exhibition 2: Valuation Result - Stock Price

Share Class	Total Value	No. of Stock	PPS	DLOM (50%)	FMV of share
Common Stock	**$164,196,735**	**11,629,445**	**$14.12**	**$(7.06)**	**$7.06**
Convertible Notes	$2,091,593	120,245			
Total	**$166,288,328**	**11,749,690**			

CORPORATE PROFILE

EXOS Aerospace Systems & Technologies, Inc. ("EXOS Aerospace") is a privately held aerospace company headquartered in Greenville, Texas. Established in May 2014, EXOS is dedicated to developing reusable launch vehicle systems for suborbital and orbital missions. The company is one of only three U.S. firms holding a reusable launch license from the Federal Aviation Administration (FAA) and is authorized under one of twelve active U.S. launch licenses.

EXOS's mission is to democratize access to space by building cost-effective, reusable rocket systems and high-performance space infrastructure. Its long-term vision focuses on supporting orbital transfers, which bridging the "last mile" from rideshare drop-offs to final orbital destinations, and ultimately enabling deep space transport systems.

Products and Services

SARGE Rocket

- The SARGE (Suborbital Autonomous Rocket with Guidance Equipment) vehicle is a reusable suborbital sounding rocket.
- The rocket stands 36 feet tall and is capable of carrying up to 50 kg of payloads within a cylindrical envelope (20" diameter × 36" height).
- It is powered by a LOX–ethanol engine producing approximately 5,500 lbf of thrust.
- Designed for rapid turnaround, the same vehicle can be reused within two days.
- SARGE has successfully completed four launches and is used for scientific research, STEM education, and commercial technology demonstrations.

Wet-Lease Launch Services

- EXOS offers wet-lease services, where organizations can lease a full mission campaign including payload integration, launch operations, post-flight analysis, and team training.
- Clients include academic institutions, private sector firms, and government programs through NASA and the U.S. Department of Defense.

Cryogenic Orbital Transfer Tanks

- EXOS develops Type-5 all-carbon composite cryogenic tanks suitable for LOX–methane propulsion systems.
- These tanks have already been proven in lunar applications and are being adapted for orbital transfer vehicles.
- The tanks are positioned as a safer, more sustainable alternative to traditional hydrazine-based systems.

Hypersonic and Orbital Systems Development

- EXOS is advancing the BLK3 platform, a composite-based rocket system with hypersonic capabilities.
- A related development is the BLK4 ARHLV, an air-launched hypersonic variant designed for defense applications.
- The ALTOS (Air-Launched Transport to Orbit System) project is under development to deliver payloads of up to 800 kg into low Earth orbit (LEO).

Management Team

John Quinn – CEO & Co-Founder

David Mitchell, M.B.A. – President & Co-Founder

Russell Blink – Chief Technology Officer (CTO) & Co-Founder

Phil Eaton – Operations Manager & Co-Founder

Neil Milburn – Chief Operating Officer (COO) & Co-Founder

Kyle Ballard – Chief Financial Officer (CFO)

Lizi Quinn – Executive Assistant & Sales Lead

Tom Wright – Board Advisor

Capitalization Table

Exhibition 3: Cap Table

Class	No. of stock	% Fully Diluted
Common Stock	11,629,445	98.98%
Convertible Notes	120,245	1.02%
Total Fully Diluted Stock	**11,749,690**	**100.00%**

**Source: Company Data*

INDUSTRY REPORT

The Commercial Space Transportation sector, including both suborbital and orbital launch services, is an innovation-driven segment within the broader aerospace and defense industry. It involves the design, development, and operation of reusable or expendable vehicles that deliver payloads for research, education, defense, and commercial use.

Previously dominated by government-funded space programs, the sector has transformed due to rising private sector involvement, cost-reducing technologies like reusability, and increasing demand for satellite deployment, microgravity research, and point-to-point space logistics. Companies like EXOS Aerospace, Rocket Lab, and Blue Origin have introduced agile platforms aimed at frequent, cost-effective access to near space and orbit.

Market Drivers

Increased Demand for Low-Cost Launch Access
Startups, research institutions, and defense contractors need frequent, flexible access to space at a reasonable cost, especially for small payloads or prototype technologies.

Proliferation of Small Satellites (CubeSats, Smallsats)
The rise of CubeSats and microsats (both for commercial and scientific use) has fueled demand for rideshare deployment and "last-mile" orbital delivery solutions.

Government Support & Defense Initiatives
The U.S. government increasingly engages private companies through NASA, DoD, and the U.S. Space Force for launch services, hypersonic testing, and responsive space missions.

Reusability & Operational Efficiency
Reusable rockets reduce launch costs and increase frequency. This economic advantage underpins a major shift in how space missions are structured and scheduled.

Educational & Scientific Research Applications
Suborbital flights offer low-cost, quick-access environments for microgravity, biomedical, and materials science research, especially relevant for universities and STEM programs.

Market Segmentation

Suborbital Launch Services: High-altitude missions that reach space (above 100km) but do not complete an orbit. Used for research, STEM payloads, and tech demonstrations.

Orbital Launch Services: Vehicles capable of inserting payloads into Earth orbit. Covers everything from smallsats to larger LEO/GEO platforms.

Hypersonic Flight Testing: Systems designed for high-speed testing of next-gen defense or aerospace tech in hypersonic regimes (Mach 5+).

Orbital Transfer Vehicles (OTVs): "Space tugs" that relocate satellites or payloads to custom orbits after primary launch. Useful for rideshare deployments.

Launch Service Leasing: Leasing full-service launch campaigns, including vehicle, integration, operations, and recovery, for organizations needing custom or recurring missions.

Opportunities

Reusable Technology Adoption
The industry is rapidly moving away from expendable launch systems toward reusability, which dramatically lowers marginal launch costs. A reusable suborbital platform also enables frequent, affordable space access for education and research.

Government Contracts & Defense Programs
U.S. agencies such as NASA, the Air Force, and DARPA support private aerospace firms for missions related to national security, technology demonstrations, and hypersonic testing. These contracts provide recurring, high-value revenue streams.

STEM and Educational Launch Services
Some providers serve an underserved market of high schools, universities, and academic labs that require low-cost, hands-on spaceflight access. These missions serve dual purposes: advancing education and generating steady revenue from student-driven payloads and academic grants. This also aligns with public benefit and outreach goals.

Cryogenic Transfer Technologies
As more payloads are deployed in shared orbits, the need for orbital maneuvering ("last-mile delivery") is increasing. EXOS's development of Type-5 carbon composite cryogenic tanks makes it a candidate to support orbital transfer vehicle (OTV) markets. These tanks can be paired with LOX–methane propulsion to offer clean, scalable solutions for in-space logistics, servicing both commercial and defense clients.

Challenges

Regulatory Hurdles

Launch activities are tightly regulated by the FAA, especially those involving reusable systems. Companies must obtain launch licenses, coordinate with airspace authorities, meet environmental assessment requirements, and maintain operational safety standards. Additionally, working with defense or international clients brings ITAR and export control obligations.

Capital-Intensive Development

Building launch vehicles and related infrastructure requires significant capital. The path from R&D to revenue is long and expensive. Early-stage firms must balance technological progress with ongoing funding needs, often relying on a mix of private investment, government grants, and strategic partnerships to reach breakeven.

Competition from Large Providers

Major providers like SpaceX and Rocket Lab offer compelling pricing and reliability, especially through rideshare programs. For new entrants, differentiation is critical, whether by niche payload types, turnaround speed, educational value, or launch flexibility. Competing purely on cost is typically not sustainable for smaller firms.

Mission Risk and Failure Tolerance

Launch missions are inherently high-risk. Any failure, including mechanical, software, or operational, can result in total payload loss, license review, and reputational damage. Maintaining vehicle reliability, thorough testing, and strong quality control is essential, especially when working with sensitive research, defense, or multi-agency payloads.

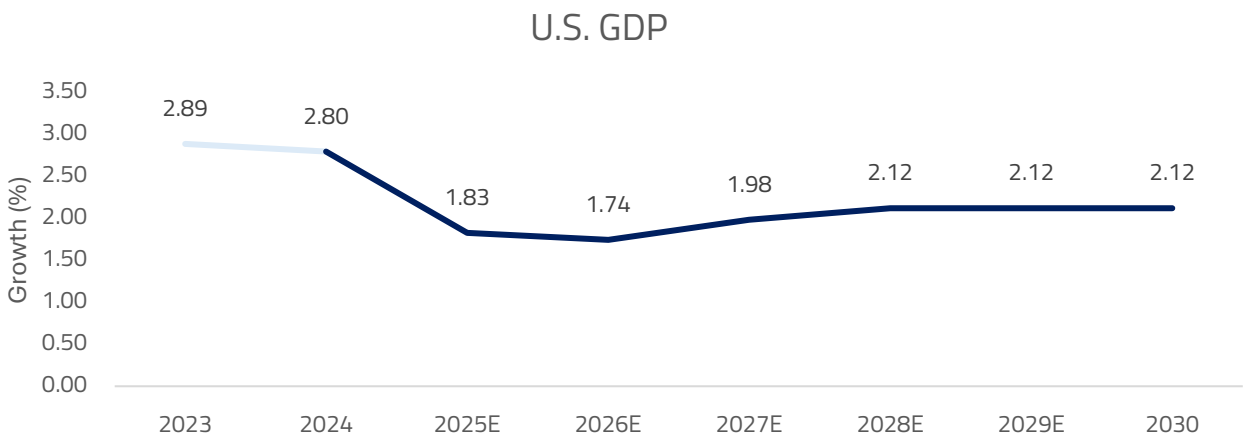
NATIONAL ECONOMY

According to the Bureau of Economic Analysis, United States ("U.S.") gross domestic product ("GDP") decreased by 0.3% (annualized rate) in Q1 2025, following a 2.4% increase in Q4 2024. The contraction was primarily driven by a surge in imports and a decline in government spending. These factors were partially offset by increases in investment, consumer spending, and exports. Below is the breakdown:

1. Personal Consumption: Increased by 1.8%, decelerating from a 4.0% rise in Q4 2024. Spending on services and goods contributed to this growth, with notable increases in healthcare, housing, and nondurable goods.
2. Inflation: The core Personal Consumption Expenditures (PCE) price index (excluding food and energy) rose 3.5%, up from 2.6% in Q4 2024. The overall gross domestic purchases price index increased 3.4%, compared to a 2.2% rise in the previous quarter.
3. Domestic Investment: Surged by 21.9%, with fixed investment in equipment increasing by 22.5%. This significant growth was largely attributed to businesses accelerating purchases ahead of anticipated tariffs.
4. Trade: Imports rose sharply by 41.3%, the largest increase since Q3 2020, as businesses front-loaded goods in anticipation of new tariffs. This surge in imports widened the trade deficit, subtracting a record 4.83 percentage points from GDP. Exports increased modestly by 1.8%.
5. Government Expenditure: Declined by 5.1%, primarily due to reductions in federal spending linked to policy changes under the new administration.

Overall, the Q1 2025 GDP contraction reflects a complex interplay of trade dynamics, fiscal policy shifts, and inflationary pressures. While domestic demand indicators such as personal consumption and investment remained resilient, external factors—particularly the sharp increase in imports and reduced government spending—more than offset these gains. Economists caution that continued trade uncertainties and policy adjustments may pose challenges to sustained economic growth in the quarters ahead.

Outlook: According to World Economic Outlook published by International Monetary Fund ("IMF") in April 2025 ("April Outlook Report"), U.S. GDP is projected to grow by 1.83% in 2025, 1.74% in 2026, and 1.98% in 2027, before stabilizing at 2.12% in 2028.



VALUATION METHODOLOGY OVERVIEW

We considered the following factors in determining the market value of closely held businesses. They are typified by the Internal Revenue Service Ruling 59-60, which issued these factors as a valuation guideline:

- The nature of the business and the history of the enterprise from its inception;
- The economic outlook in general and the conditions and outlook of the industry in particular;
- The book value of the stock and the financial condition of the business;
- The earning capacity of the business;
- The dividend-paying capacity of the business;
- Whether the enterprise has goodwill or other intangible value;
- Prior sales of the stock and the size of the block of stock to be valued; and
- The market price of stocks and the sizes of corporations engaged in the same or a similar line of business having their stocks actively traded on an exchange or over the-counter market.

Valuation Approach

There are three generally accepted approaches to appraise the fair market value of the Company, namely Market Approach, Asset-Based Approach and Income Approach. All three of them have been considered for the valuation of the Company.

The Market Approach

The Market Approach provides an indication of value by comparing the subject asset to similar assets that have been sold in the market, with appropriate adjustments for the differences between the subject asset and the assets that are considered to be comparable to the subject asset.

Under the Market Approach, the Guideline Public Company Method ("GPCM") computes a price multiple for publicly listed companies that are considered to be the guideline public companies ("GPCs") to the subject asset and then applies the result to a base of the subject asset. The Guideline Precedent Transaction Method ("GPTM") computes a price multiple using recent sales and purchase transactions of assets that are considered to be guideline precedent transaction ("GPTs") to the subject asset and then applies the result to a base of the subject asset.

Backsolve Approach

The Backsolve Approach utilities the company's own relevant stock transactions to determine its equity value. Utilizing the price at which a recent equity class was issued by the Company or transacted between third parties, the equity value which results in a value being assigned to the identified equity class consistent with the issue or transacted price can be calculated using appropriate allocation methodologies.

The Asset-Based Approach

The Asset-Based Approach considers the cost to reproduce or replace in new condition the assets appraised in accordance with current market prices for similar assets, with allowance for accrued depreciation arising from condition, utility, age, wear and tear, or obsolescence (physical, functional, or economical) present, taking into consideration past and present maintenance policy and rebuilding history.

The Income Approach

The Income Approach provides an indication of value based on the principle that an informed buyer would pay no more than the present value of anticipated future economic benefits generated by the subject asset.

The fundamental method for Income Approach is the discounted cash flow ("DCF") method. Under the DCF method, the value depends on the present value of future economic benefits to be derived from ownership of the enterprise. Thus, an indication of the equity value is calculated as the present value of the future free cash flow of a company less outstanding interest-bearing debt, if any. The future cash flow is discounted at the market-derived rate of return appropriate for the risks and hazards of investing in a similar business.

Valuation Analyst's Decision

Exhibition 4: Income Approach and Market Approach are considered to be appropriate

Valuation Approach	Decision	Reason
Income Approach	**Accepted**	**Consider the Company's unique risk and return characteristics**
Market Approach	**Accepted**	**Consider the current market condition**
Asset-Based Approach	Rejected	Fail to reflect future economic benefit

For the Income Approach, the valuation analyst considered the detailed financial forecast provided by the client. As the Income Approach considered the future growth potential, and the unique risk and return characteristics of the Company, the valuation analyst determined that the discounted future benefits method would be the appropriate valuation method to utilize for the company.

We have adopted Market Approach to determine the fair market value of the Company. FMV arrived from Market Approach reflects the market expectations over the corresponding industry as the pricing multiples of the comparable companies had arrived from market consensus.

- Since there are sufficient public companies in similar nature and business to that of the Company, their market values are good indicator, thus, the Guideline Public Company Method is adopted in this valuation.

- Since the M&A transaction in the aerospace industry is not available, the valuation analyst decided not to implement to Guideline Precedent Transaction Method.

For the Asset-Based Approach, the company's balance sheet reflected a positive book value for the company. However, the asset-based approach has not considered any future economic benefits and upcoming business developments of the company. Therefore, the Asset-Based Approach is not applicable to the valuation of EXOS Aerospace Systems & Technologies, Inc.

Overall, both the **Income Approach** and **Market Approach** are applied in the valuation of EXOS Aerospace Systems & Technologies, Inc., and they are further explained in the following section.

THE INCOME APPROACH

Considering the nature of The Company, and its growth in business operations and sales over the next few years, the application of the income approach will be accomplished using the discounted future benefits method. The discounted future benefits method was more suitable than the capitalization of earning method, as a multiple period benefits method was more accurate view of the difference in operational expenses in the future than a single period method.

Discount And Capitalization Rates

Section 6 of Revenue Ruling 59-60 states:

In the application of certain fundamental valuation factors, such as earnings and dividends, it is necessary to capitalize the average or current results at some appropriate rate. A determination of the proper capitalization rate presents one of the most difficult problems in valuation.

In the text of Revenue Ruling 68-609, capitalization rates of 15 to 20 percent were mentioned as an example. Many valuation analysts are under the misconception that the capitalization rate must stay within this range. In reality, the capitalization rate must be consistent with the rate of return currently needed to attract capital to the type of investment in question.

In essence, this method to find the company's discount rate must be used as a combination of the cost of the company's equity plus the cost of the company's debt. First the valuation analyst must determine the cost of the company's equity, which is determined by using another formula called the Capital Asset Pricing Model.

Capital Asset Pricing Model (CAPM)
The Capital Asset Pricing Model (CAPM) is a model that describes the relationship between the expected return and risk of investing in a security. CAPM is widely used throughout finance for pricing risky securities and generating expected returns for assets given the risk of those assets and cost of capital. The formula for the CAPM model is as:

$$R_i = R_f + \beta_i * (R_m - R_f)$$

Ri = Expected return on a security
Rf = Risk-free rate
Bi = Beta of the security
Rm = Expected return of the market

After review of the company's information, the valuation analyst determined the values of the company being:
Risk Free Rate: yield of the 30-year treasury bonds as of the valuation date
Equity Risk Premium-The return premium required to move out of t-bills into stocks
Beta- Average relevered Beta value of the comparable public companies
Size specific risk premium-The return premium required to invest in small companies, as defined as
Company specific risk premium-The return required to accepts other risks specific to the company

Once defining the cost of equity through the CAPM model, the valuation analyst then needs to determine the cost of debt to determine the WACC.

Weighted Average Cost of Capital (WACC)

The weighted average cost of capital (WACC) is defined as the average return rate that company needs to compensate its security holders to finance its assets. The formula represents various sources of capital within a company from both the equity and debt side to obtain a discount rate appropriate to the company. The formula for the WACC is as follows:

$$WACC = \frac{E}{E+D} * R_E + \frac{D}{E+D} * R_D * (1-T)$$

E=Market value of the firm's equity
D=Market value of the firm's debt
V=E+D
Re=Cost of equity
Rd=Cost of debt
T=Corporate tax rate

In essence, this method to find The Company's discount rate must be used as a combination of the cost of The Company's equity (Re) plus the cost of The Company's debt (Rd). As a result, for the WACC method, the values of the variables for each section of this method were determined to be:

Exhibition 5: Discount rate calculation

WACC Calculation	Value
Risk-Free Rate	3.96%
ERP (Equity Risk Premium)	4.33%
Beta[1]	1.26
Size Premium	10.99%
Specific risk premium	8.29%
Cost of Equity	**28.67%**
Cost of Debt	5.38%
Weighted of Equity[1]	79.55%
Weighted of Debt[1]	20.45%
Tax Rate	25.00%
WACC	**23.63%**

1. *Calculated from the Guideline Public Comparable Companies (GPCs) selected, details of GPCs are shown in Appendix 2.*

Discounted Future Benefits Method

The discounted future benefits method is one of the most theoretically correct methods of valuation. It is premised on the concept that value is based on the present value of all future benefits that flow to an owner of a property. These future benefits can consist of current income distributions, appreciation in the property or a combination of both. The formula for the discounted future benefits method is as follows:

$$\sum_{n=1}^{n=t} \frac{E_n}{(1+k)^n} = \frac{FV_{t+1}}{(1+k)^n}$$

E = Benefit stream
k = Discount rate
n = Time period 1 through period t
FV = Future value or terminal period benefits stream

The formula appears much more complicated than it is. In essence, this valuation method requires a forecast to be made of future benefits, going out far enough into the future until an assumed stabilization of the benefits occurs for the property being valued. Using the pro forma income statement as a starting point, the analyst forecasted an additional 10 years, which is the estimated amount of time it would take for EXOS Aerospace Systems & Technologies, Inc. to reach a sustainable level of cash flow. The cash flow forecast is presented in Exhibition 6.

Exhibition 6: Cashflow projection

For the period ($)	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E
Revenue	9,810,500	20,832,525	37,183,756	83,146,132	164,320,597	230,048,836	322,068,371	450,895,719	631,254,007	883,755,610
Cost of Goods Sold	5,467,983	10,416,263	19,718,005	41,111,797	90,903,452	127,264,832	178,170,765	249,439,072	349,214,700	488,900,580
Gross Profit	**4,342,518**	**10,416,263**	**17,465,751**	**42,034,335**	**73,417,145**	**102,784,004**	**143,897,606**	**201,456,647**	**282,039,307**	**394,855,030**
Operating Expenses	3,659,407	6,128,121	8,725,256	19,898,839	25,690,850	35,967,190	50,354,066	70,495,692	98,693,969	138,171,556
EBITDA	**683,110**	**4,288,141**	**8,740,495**	**22,135,496**	**47,726,295**	**66,816,814**	**93,543,540**	**130,960,955**	**183,345,338**	**256,683,473**
Depreciation and Amortization	1,264,752	1,406,427	1,496,006	2,685,859	2,108,323	2,108,323	2,108,323	2,108,323	2,108,323	2,108,323
EBIT	**(581,642)**	**2,881,715**	**7,244,490**	**19,449,636**	**45,617,973**	**64,708,491**	**91,435,217**	**128,852,632**	**181,237,015**	**254,575,150**
Less: Taxes	-	720,429	1,811,122	4,862,409	11,404,493	16,177,123	22,858,804	32,213,158	45,309,254	63,643,788
Add: Depreciation & Amortization	1,264,752	1,406,427	1,496,006	2,685,859	2,108,323	2,108,323	2,108,323	2,108,323	2,108,323	2,108,323
Less: CAPEX	(5,179,561)	(1,011,252)	(1,311,252)	(27,500,094)	(24,403,175)	(24,403,175)	(24,403,175)	(24,403,175)	(24,403,175)	(24,403,175)
Less: Changes in NWC	(698,109)	(183,498)	(227,940)	(903,398)	(495,873)	(694,222)	(971,911)	(1,360,676)	(1,904,947)	(2,666,925)
Net Cash Flow	**(3,798,342)**	**2,739,959**	**5,846,061**	**(9,323,609)**	**12,414,501**	**26,930,739**	**47,253,472**	**75,705,299**	**115,537,856**	**171,303,436**

After review of the company's past historical financial data and revenue in the previous years, the method used for forecasting the future revenue was based on the company's management prepared forecasted future earning, the details are as follows:

1. The forecast revenue from 2025 to 2034 is taken from the management financial projection.
2. The forecast cost of goods sold (COGS) from 2025 to 2034 are taken from the management financial projection.
3. The forecast operating expense (OPEX) from 2025 to 2034 are taken from the management financial projection.
4. The total Depreciation & Amortization (D&A) expenses are added back to the projected EBIT, from 2025 to 2034.
5. Adjustment in both Capital Expenditure (CAPEX) and Change in Net Working Capital (NWC) are made, which are taken from the management financial projection.
6. To obtain the final net cash flow, taxation adjustment is made by deducting 25% of operating income for each year.

Once the benefit stream has been forecasted, the selection of the proper discount rate becomes necessary. Since the cash flow being estimated will not occur until some time in the future, the benefits must be discounted to their present value. In this instance, a discount rate of 23.63% was deemed applicable.

The valuation analyst computed the value using the perpetuity growth model, the assumption of the company is that it will continue operations past year 10 (2034), being the value of these years capture in the terminal value. The results in the value estimated calculated are as follows:

Exhibition 7: Terminal Value Calculation

In USD$	Value
FY2034E Cash Flow	171,303,436
Terminal growth rate	3%
Terminal Cash Flow	176,442,539
Discount Rate - Growth	20.63%
Capitalization	**855,187,095**

The present value of cash flows is calculated each year from the 23.63% present value factor (discount rate) from 2025 to 2034, together with the terminal value of future cash flows after this year at a growth rate of 3%. The resulted in a capitalization rate (discount rate less growth rate) of 20.63%, which was used to determine the terminal value of the future discounted cash flows. The present value of the future cash flows from these years rounded to a figure of **$189,105,538** from the Perpetuity Growth Model under the Income Approach. The detailed calculation is shown as below:

Exhibition 8: Valuation - Income Approach

In USD$	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E	Terminal
Net Cash Flow (CF)	(3,798,342)	2,739,959	5,846,061	(9,323,609)	12,414,501	26,930,739	47,253,472	75,705,299	115,537,856	171,303,436	855,187,095
Time period	0.59	1.59	2.59	3.59	4.59	5.59	6.59	7.59	8.59	9.59	9.59
23.63% PV Factors	0.8830	0.7143	0.5777	0.4673	0.3780	0.3057	0.2473	0.2000	0.1618	0.1309	0.1309
Present Value (PV) of CF	(3,354,111)	1,957,026	3,377,417	(4,356,868)	4,692,330	8,233,349	11,685,061	15,142,322	18,692,160	22,416,625	111,909,069
Discount Cash Flow (DCF) Valuation											
Sum of PV of CF	78,485,311										
PV of Terminal Value	111,909,069										
Indication of Value	**190,394,380**										
Add: Cash and Equivalence	41,749										
Less: Debt	(1,330,591)										
Net Value of Equity	**189,105,538**										

As a result, the total equity value of the Company is **$189,105,538** from the Income Approach.

THE MARKET APPROACH

Guideline Public Company Method

Selection of Guideline Public Companies

Under the Guideline Public Company Method, the valuation analyst searches for publicly traded companies in the same or similar business, uses pricing multiples based on these companies' market prices and financial data to derive a value of the subject company. To Apply this method, we performed a search on the FactSet to find GPCs with the following criteria:

1. Industry/Sector: The GPCs engaged in the same industry (Aerospace) as the Company;
2. Stock Exchange Listing: The GPCs are listed on major and world recognized stock exchanges;
3. Listing days: The GPCs were actively traded around the Valuation Date; and,
4. Publicly Available Financials: The GPCs must have financial information readily available to the public.

The list of GPCs based on the above selection criteria is considered to be exhaustive. They are presented in the section *Appendix 2.1 GPCs Description*. Despite the fact that there may exist some difference between these companies and the Company, in general, we still believe their financial information is relevant and of use in comparing the performance and operations of the Company.

Selection of Valuation Multiples

We have considered various multiples in the valuation, such as the earning-based multiples: EV/EBITDA and P/E, asset-based multiple: P/B, and revenue-based multiples: EV/Rev and P/S.

Regarding the asset based multiple, we rejected the use of P/B as the Company's profitability or earning potential could not be fully considered.

Regarding the earning-based multiples, we rejected the use of EV/EBITDA and P/E as the Company is in its early stage, currently experiencing fluctuating EBITDA, and planning to reinvest most, if not all, of its revenue into growth and customer acquisition in the following years, making the use of earning-based multiples not applicable.

Regarding the revenue-based multiples, we adopted EV/Rev as it allows for comparisons among the companies with different capital structure, and the ratio tends to be more stable. We reject the use of P/S as it is distorted by variations in the capital structure among the GPCs.

Selection of Financials

In order to estimate the TTM sales revenue of the company for the valuation, the valuation analyst discounted the revenue as of fiscal year end of 2027 ($37,183,756), by applying the discount factor of 23.63%. The revenue used hence become **$21,481,996**. The calculation is shown below:

Exhibition 9: TTM Revenue Estimation

(In USD)	Column1
2027E Projection	$37,183,756
Discount rate	23.63%
Time factor	2.59
PV factor	0.5777
Discount revenue	**$21,481,996**

Determination of Valuation Multiple

In determining the appropriate multiple for the company., the average, median, and percentile of the EV/Revenue ratio were considered. The 25th percentile and median numbers of the multiple were 1.96 and 4.71, respectively. Details of trading multiples are presented in the section *Appendix 2.2 GPCs' Trading Multiple and Financials.*

Due to the company' revenue size and the forecasted sales revenue have a significant growth and being closer to the average level of the other public company guidelines, the 75th percentile of the multiple was selected, as 6.74.

Value Indication

The median of TTM EV/Rev Multiple selected is used with the Company's TTM revenue to arrive at the EV of the Company, then adjustments for non-operating items are made to derive the equity value, the calculation are as follows.

Exhibition 10: Valuation - Guideline Public Company Method

(In USD)	Valuation
TTM EV/Revenue	6.74
TTM Revenue	21,481,996
Market Value of EV	**144,759,960**
Add: Cash and Cash Equivalence	41,749
Less: Debt	(1,330,591)
Indicated Equity Value of the Company	**143,471,118**

RECONCILIATION OF VALUE

The FMV of equity of the company was determined by using both the Income Approach and Market Approach – Guideline Public Company Method.

Exhibition 11: Conclusion of Firm Value

Valuation Method	Valuation	Weight	Weighted Value
Income Approach	$189,105,538	50%	$94,552,769
Market Approach - Guideline Public Company Method	$143,471,118	50%	$71,735,559
Value of 100% Equity Interest in EXOS Aerospace Systems & Technologies, Inc.			**$166,288,328**

The value derived from these approaches are on a marketable and non-controlling basis. Considering that the Company is privately held, its shares are non-marketable, and as such, a Discount for lack of Marketability (DLOM) is applied to arrive at the fair market value of the common stock.

ALLOCATION OF EQUITY

The American Institute of Certified Public Accountants (“AICPA”) guidelines allow for three unique methods of allocating enterprise value to differing security holders in the capitalization schedule: the Current Value Method ("CVM"), the Probability-Weighted Expected Return Method ("PWERM"), and the Option Pricing Method ("OPM"). Each of these allocation methods were considered in estimating the fair market value of the Company's stock.

When the company has a complex equity structure, where the equity classes have different preferential rights, exercise price, conversion price, OPM is often carried out to calculate the distribution of the company’s equity value. This is because the Waterfall Analysis displays the sequential breakdown of the company’s equity value in intermediate values/thresholds that individual equity class is entitled to received according to pre-established rights in the agreement.

The Option Pricing Method was considered appropriate given the Company’s anticipated exit date, and uncertainty regarding future returns, and the complex equity structure.

Option Pricing Method

We estimated the fair market value of the Company’s classes of equity using the OPM with the Breakpoint Analysis and Option Pricing Method. The OPM treats equity classes, both common and preferred stock, as call options on the company's equity value, with exercise prices reflecting the liquidation preferences of preferred stockholders. This approach values common stock only when available funds for distribution exceed the liquidation preferences at a liquidity event, such as a merger or sale, provided there are adequate funds to honour these preferences.

In our model, the Company's stock classes are akin to call options, granting the right (but not the obligation) to purchase the underlying enterprise value at a predetermined exercise price. This exercise price correlates with the enterprise value, not a per-share price, making common securities a call option with a claim on the enterprise at an exercise price equivalent to the preferred stock's liquidation preference. We commonly employ the Black-Scholes model for valuing these options.

The OPM accounts for various terms in stockholder agreements, including security seniority, dividend policies, conversion ratios, and cash allocations, focusing on the impact of liquidation preferences as of the future liquidation date, not as of the Valuation Date.

CONCLUSION OF VALUE

Based on the breakpoints and capital structure as detailed in *Appendix 3 Option Pricing Model to Allocate Value.*, the fair market value of Common Stock is estimated at **$7.06** per share on non-marketable, and non-controlling basis.

PREMIUMS AND DISCOUNTS

VALUATION PREMIUMS AND DISCOUNTS IN GENERAL

The value reached in the valuation of a closely-held business may be more or less than the value that was calculated using the various methods of valuation that are available. The type and size of the premium(s) or discount(s) will vary depending on the starting point. The starting point will depend on which methods of valuation were used during the valuation as well as other factors, such as the sources of the information used to derive multiples or discount rate, and normalization adjustments. These premiums and discounts will also depend on the standard of value applied in the valuation.

Discount for Lack of Marketability

A discount for lack of marketability ("DLOM") is used to compensate for the difficulty of selling shares of stock that are not traded on a stock exchange compared with those that can be traded publicly. Publicly-traded stocks frequently have an element of liquidity that closely-held shares do not. This is the reason that a DLOM may be applied. It is intended to reflect the market's perceived reduction in value for not providing liquidity to the shareholder. Also, it is important to understand that liquidity is not an on-off switch, where you either have it or you do not. Rather, liquidity is a continuum where there are varying degrees in both the public market and for private companies.

A DLOM may also be appropriate when the shares have either legal or contractual restrictions placed upon them. These may be in the form of restricted stock, restrictions resulting from buy-sell agreements, bank loan restriction, or other types of contracts that restrict the sale of shares.

DLOM – Quantitative Analysis

To quantitatively determine the DLOM is stock option models, we have employed the Black-Scholes option pricing model.

Using the Black Scholes option pricing model, we calculated the values of put options using the volatility of the similar public companies. By purchasing an "at the money" put option on these companies, an investor can protect the market price of his or her investment by locking in the market price of his or her position, which defends against a drop in market value.

In calculating the value of put options on the Company, we used the combination of (1) Finnerty, and (2) Chaffe model with the following inputs:

- Term of 5 year which is equal to the estimated time of exit.
- The 5-year 75th percentile of the historical equity volatility of the GPCs of 86.56%.
- The risk-free rate was 5-year US treasury yield as of the Valuation Date of 3.96%.

The option pricing model indicated a cost of liquidity in the range of 45.16% to 52.09%.

In this valuation, we relied upon Option Pricing Models to determine DLOM. Based on it, **50%** was adopted as the DLOM for this valuation.

ASSUMPTIONS AND LIMITING CONDITIONS

1. The conclusion of value arrived at herein is valid only for the stated purpose as of the date of the valuation.

2. Financial statements and other related information provided by the business or its representatives, in the course of this engagement, have been accepted without any verification as fully and correctly reflecting the enterprise's business conditions and operating results for the respective periods, except as specifically noted herein. Eqvista, Inc. has not audited, reviewed, or compiled the financial information provided to us and, accordingly, we express no audit opinion or any other form of assurance on this information.

3. Public information and industry and statistical information have been obtained from sources we believe to be reliable. However, we make no representation as to the accuracy or completeness of such information and have performed no procedures to corroborate the information.

4. We do not provide assurance on the achievability of the results forecasted by or for the subject company because events and circumstances frequently do not occur as expected; differences between actual and expected results may be material; and achievement of the forecasted results is dependent on actions, plans, and assumptions of management.

5. The conclusion of value arrived at herein is based on the assumption that the current level of management expertise and effectiveness would continue to be maintained, and that the character and integrity of the enterprise through any sale, reorganization, exchange, or diminution of the owners' participation would not be materially or significantly changed.

6. This report and the conclusion of value arrived at herein are for the exclusive use of our client for the sole and specific purposes as noted herein. They may not be used for any other purpose or by any other party for any purpose. Furthermore, the report and conclusion of value are not intended by the author and should not be construed by the reader to be investment advice in any manner whatsoever. The conclusion of value represents the considered opinion of Eqvista, Inc., based on information furnished to them by the subject company and other sources.

7. Neither all nor any part of the contents of this report (especially the conclusion of value, the identity of any valuation specialist(s), or the firm with which such valuation specialists are connected or any reference to any of their professional designations) should be disseminated to the public through advertising media, public relations, news media, sales media, mail, direct transmittal, or any other means of communication without the prior written consent and approval of Eqvista, Inc.

8. Future services regarding the subject matter of this report, including, but not limited to testimony or attendance in court, shall not be required of Eqvista, Inc. unless previous arrangements have been made in writing.

9. Eqvista, Inc. has not determined independently whether the subject company is subject to any present or future liability relating to environmental matters (including, but not limited to CERCLA/Superfund liability) nor the scope of any such liabilities. Eqvista, Inc.'s valuation takes no such liabilities into account, except as they have been reported to Eqvista, Inc. by the subject company or by an environmental consultant working for the subject company, and then only to the extent that the liability was reported to us in an actual or estimated dollar amount. Such matters, if any, are noted in the report. To the extent such information has been reported to us, Eqvista, Inc. has relied on it without verification and offers no warranty or representation as to its accuracy or completeness.

10. No change of any item in this valuation report shall be made by anyone other than Eqvista, Inc., and we shall have no responsibility for any such unauthorized change.

11. Unless otherwise stated, no effort has been made to determine the possible effect, if any, on the subject business due to future Federal, state, or local legislation, including any environmental or ecological matters or interpretations thereof.

12. Except as noted, we have relied on the representations of the owners, management, and other third parties concerning the value and useful condition of all equipment, real estate, investments used in the business, and any other assets or liabilities, except as specifically stated to the contrary in this report. We have not attempted to confirm whether or not all assets of the business are free and clear of liens and encumbrances or that the entity has good title to all assets.

13. All facts and data set forth in the report are true and accurate to the best of the Valuation Analyst's knowledge and belief. We have not knowingly withheld or omitted anything from our report affecting our value estimate.

14. Unless otherwise provided for in writing and agreed to by both parties in advance, the extent of the liability for the completeness or accuracy of the data, opinions, comments, recommendations and/or conclusions shall not exceed the amount paid to the Valuation Analysts for professional fees and, then, only to the party(s) for whom this report was originally prepared.

15. The conclusion reached in this report is based on the standard of value as stated and defined in the body of the report. An actual transaction in the business or business interest may be concluded at a higher value or lower value, depending on the circumstances surrounding the company, the subject business interest and/or the motivations and knowledge of both the buyers and sellers at that time. Eqvista, Inc. makes no guarantees as to what values individual buyers and sellers may reach in an actual transaction.

16. No opinion is intended to be expressed for matters that require legal or other specialized expertise, investigation or knowledge beyond that customarily employed by Valuation Analysts valuing businesses.

VALUATION ANALYST'S REPRESENTATION

- the statements of fact contained in this report are true and correct.
- the reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions and are our personal, impartial, and unbiased professional analyses, opinions, and conclusions.
- we have no present or prospective interest in the property that is the subject of this report, and we have no personal interest with respect to the parties involved.
- we have performed no services, as a Valuation Analyst or in any other capacity, regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.
- we have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.
- our engagement in this assignment was not contingent upon developing or reporting predetermined result

Appendix 1 Financial Statements

1.1 Consolidated Income Statement

For the Year Ended Dec 31st ($)	FY2022	FY2023	FY2024	May 31st, 2025
Income				
Design Income	63,000	-	-	-
Interest Income	5	3	2	0
Sales	-	-	-	35,478
Sales of Product Income	-	-	596	-
Services Rendered	124,838	308,000	626,544	266,519
Total Income	**187,842**	**308,003**	**627,141**	**301,996**
Cost of Goods Sold				
Cost of Goods Sold	104	-	-	(1,650)
Development & Testing	721	-	-	-
Launch Supplies	7,141	-	2,812	-
Total Cost of Goods Sold	**7,965**	**-**	**2,812**	**(1,650)**
Gross Profit	**179,877**	**308,003**	**624,330**	**303,646**
Expenses				
Administrative	597,324	553,138	734,204	296,156
Assembly/Production	214,724	258,072	299,045	152,646
Conferences & meetings	-	764	413	-
Deferred Contractor Compensation	39,500	-	-	-
Employee Benefits	3,650	-	-	-
Merchant Card Fees	196	-	-	-
Property Tax	3,217	1,740	-	2,277
Reconciliation Discrepancies	-	10	-	-
Total Expenses	**858,611**	**813,724**	**1,033,662**	**451,079**
Net Operating Income	**(678,734)**	**(505,721)**	**(409,333)**	**(147,433)**
Other Income				
Grant Income	10,000	-	-	-
Payroll Tax Credit	45,327	-	-	-
Total Other Income	**55,327**	**-**	**-**	**-**
Other Expenses				
Unrealized Gain or Loss	-	-	-	-
Amortization	39,161	26,277	8,276	-
Depreciation	39,803	897	144	-
Depreciation Exp M&E	4,581	1,654	1,069	-
Gain/(loss) disposal FA	-	10,717	-	-
Total Other Expenses	**83,545**	**39,545**	**9,489**	**-**
Net Other Income	**(28,218)**	**(39,545)**	**(9,489)**	**-**
Net Income	**(706,953)**	**(545,266)**	**(418,822)**	**(147,433)**

**Source: Company Data.*

1.2 Consolidated Balance Sheet

For the Year Ended Dec 31st ($)	FY2022	FY2023	FY2024	May 31st, 2025
ASSETS				
Current Assets				
Bank Accounts	252,248	127,296	143,032	41,749
Accounts Receivable	-	-	80,350	230,478
Inventory Asset	229,800	230,210	229,800	229,800
Loans to Others	-	-	60,000	60,000
Prepayments	61,717	-	-	-
Receivable Exos Italy	472,291	492,072	492,166	492,166
Rocket Assembly	2,103,763	2,195,435	2,263,755	2,263,797
Supplies	-	35	-	-
Total Current Assets	**3,119,820**	**3,045,048**	**3,269,102**	**3,317,990**
Fixed Assets				
Accumulated Depreciation	(9,066)	(9,675)	(9,675)	(9,675)
Furniture and Equipment	7,411	7,411	7,411	7,411
Leasehold Improve Greenville	23,740	23,740	23,740	23,740
Machines & Equipment	1,730	634	2,530	2,530
Software	508	220	76	76
Total Fixed Assets	**24,323**	**22,330**	**24,082**	**24,082**
Other Assets				
Good Will	10,797,600	10,795,395	10,793,190	10,793,190
Miscellaneous Blink Assets	115,631	115,631	115,631	115,631
Prepaid Rent	7,500	7,500	7,500	7,500
Scorplus Stock	450,000	510,000	790,000	790,000
Software Licenses	101,368	77,296	71,225	71,225
Total Other Assets	**11,472,099**	**11,505,822**	**11,777,546**	**11,777,546**
Total ASSETS	**14,616,242**	**14,573,200**	**15,070,731**	**15,119,618**
LIABILITIES & EQUITY				
Liabilities				
Current Liabilities				
Accounts Payable	25,462	29,710	7,209	439
Credit Cards	188	13,891	2,785	2,180
Accrued Contract Labor	180,958	176,008	176,008	176,008
Loan from Shareholder	-	-	-	22,000
N/P First Ins Funding	2,536	1,790	1,790	1,790
Payroll Liabilities	(2,072)	(2,072)	(2,077)	(2,345)
Total Current Liabilities	**207,073**	**219,328**	**185,715**	**200,073**
Long-Term Liabilities				
Ascentium Capital Note	-	-	56,185	43,867
Balboa Capital Note	-	-	96,441	76,205
Blink Buyout	173,800	173,800	153,800	153,800
Convertible Note - PO 7	565,000	565,000	565,000	565,000
N/P - Martin Systems & Technologies (MST)	227,719	227,719	291,719	291,719

Payable Designer Technologies	(8,404)	-	-	-
Shareholder Notes Payable - Alford	200,000	200,000	200,000	200,000
Total Long-Term Liabilities	**1,158,115**	**1,166,519**	**1,363,146**	**1,330,591**
Total Liabilities	**1,365,188**	**1,385,847**	**1,548,861**	**1,530,664**
Equity				
Additional Paid In Capital	13,838	19,088	19,088	19,088
Capital Stock	288	290	292	214,810
Opening Balance Equity	(227,761)	-	-	-
Paid In Capital	18,857,793	19,342,510	20,180,293	20,180,293
Retained Earnings	(4,686,151)	(5,629,269)	(6,258,982)	(6,677,803)
Net Income	(706,953)	(545,266)	(418,822)	(147,433)
Total Equity	**13,251,054**	**13,187,353**	**13,521,870**	**13,588,955**
TOTAL LIABILITIES & EQUITY	**14,616,242**	**14,573,200**	**15,070,731**	**15,119,618**

**Source: Company Data.*

Appendix 2 GPCs Information

2.1 GPCs Description

Company	Ticker	Description
Northrop Grumman Corp.	NOC-US	Northrop Grumman Corp. engages in the provision of advanced aircraft systems. It operates through the following segments: Aeronautics Systems, Defense Systems, Mission Systems, and Space Systems. The Aeronautics Systems segment is involved in the design, development, production, integration, sustainment, and modernization of advanced aircraft systems for the U.S. Air Force, the U.S. Navy, other U.S. government agencies, and international customers. The Defense Systems segment includes integrated battle management systems, weapons systems and aircraft, and mission systems sustainment and modernization. The Mission Systems segment offers advanced mission solutions and multifunction systems, primarily for the U.S. defense and intelligence community, and international customers. The Space Systems segment delivers end-to-end mission solutions through the design, development, integration, production and operation of space, missile defense, launch and strategic missile systems for national security, civil government, commercial, and international customers. The company was founded by John K. Northrop, Thomas V. Jones, and Kent Kresa in 1939 and is headquartered in Falls Church, VA.
Moog Inc.	MOG.A-US	Moog, Inc. is a designer, manufacturer, and systems integrator of precision motion and fluid controls and systems for applications in aerospace and defense and industrial markets. It operates through the following segments: Aircraft Controls, Space and Defense Controls, and Industrial Systems. The Aircraft Controls segment designs, manufactures, and integrates primary and secondary flight controls for military and commercial aircraft and provides aftermarket support. The Space and Defense Controls segment is involved in controlling satellites, space vehicles, launch vehicles, armored combat vehicles, tactical and strategic missiles, security and surveillance, and other defense applications. The Industrial Systems segment engages in customizing machine performance components and systems utilizing electrohydraulic, electromechanical, and control technologies in applications involving motion control, fluid control, and power and data management across a variety of markets. The company was founded by William C. Moog, Arthur Moog, and Lou Geyer in 1951 and is headquartered in East Aurora, NY.
Redwire Corp	RDW-US	Redwire Corp. manufactures and supplies space equipment. It offers critical space solutions and reliability components for the next generation space economy with IP for solar power generation and in-space 3D printing and manufacturing. It assists its customers in solving challenges of future space missions. The company was founded in 2020 and is headquartered in Jacksonville, FL.
Rocket Lab Corporation	RKLB-US	Rocket Lab Corp. engages in the development of rocket launch and control systems for the space and defense industries. It operates through the Launch Services and Space Systems segments. The Launch Services segment provides launch services to customers on a dedicated mission or ride share basis. The Space Systems segment consists of spacecraft engineering and design services,

		spacecraft components, spacecraft manufacturing, and on-orbit mission operations. The company is headquartered in Long Beach, CA.
Intuitive Machines, Inc.	LUNR-US	Intuitive Machines, Inc. is a space exploration, infrastructure, and services company, which engages in contributing to the establishment of cislunar infrastructure and helping to develop cislunar and deep space commerce. It offers space products and services. The company was founded by Stephen J. Altemus, Kam Ghaffarian, and Timothy P. Crain in 2013 and is headquartered in Houston, TX.
Virgin Galactic Holdings Inc	SPCE-US	Virgin Galactic Holdings, Inc. is an aerospace and space travel company, which engages in the provision of consumer space experience using reusable spaceflight systems. The firm is also involved in designing, developing, and manufacturing, ground and flight testing, spaceflight operation, and post-flight maintenance of spaceflight systems. The company was founded on May 5, 2017 and is headquartered in Tustin, CA.
Sidus Space, Inc.	SIDU-US	Sidus Space, Inc. is a space-as-a-service company. The firm focuses on commercial satellite design, manufacture, launch planning, mission operations and in-orbit support, and data collection with a vision to demonstrate space operations for new technologies, and deliver data and predictive analytics to both domestic and global customers. The company was founded by Carol M. Craig on July 17, 2012 and is headquartered in Merritt Island, FL.
L3Harris Technologies Inc	LHX-US	L3Harris Technologies, Inc. engages in the provision of defense and commercial technologies across the air, land, sea, space, and cyber domains. It operates through the following segments: Space and Airborne Systems, Integrated Mission Systems, Communication Systems, and Aerojet Rocketdyne. The Space and Airborne Systems segment provides full mission solutions as a prime and subsystem integrator in the space, airborne and cyber domains. The Integrated Mission Systems segment focuses on the differentiated mission capabilities and prime systems integration for the air, land and sea domains. The Communication Systems segment enables warfighters across all domains with solutions critical to mission success even in the most contested environments. The Aerojet Rocketdyne segment includes propulsion, power and armament products and systems to U.S. government, including the DoD, National Aeronautics and Space Administration (“NASA”) and major aerospace and defense prime contractors. The company was founded in 1890 and is headquartered in Melbourne, FL.
Lockheed Martin Corporation	LMT-US	Lockheed Martin Corp. is a global security and aerospace company, which engages in the research, design, development, manufacture, integration, and sustainment of technology systems, products, and services. It operates through the following business segments: Aeronautics, Missiles and Fire Control (MFC), Rotary and Mission Systems (RMS), and Space. The Aeronautics segment researches, designs, develops, manufactures, integrates, sustains, supports, and upgrades advanced military aircraft, including combat and air mobility aircraft, unmanned air vehicles, and related technologies. The MFC segment is involved in air and missile defense systems, tactical missiles and air-to-ground precision strike weapon systems, logistics, fire control systems, mission operations support, readiness, engineering support and integration services, manned and unmanned ground vehicles, and energy management solutions. The RMS segment

	designs, manufactures, services, and supports various military and commercial helicopters, surface ships, sea and land-based missile defense systems, radar systems, sea and air-based mission and combat systems, command and control mission solutions, cyber solutions, and simulation and training solutions. The Space segment includes the production of satellites, space transportation systems, and strategic, advanced strike, and defensive systems. The company was founded in 1995 and is headquartered in Bethesda, MD.

2.2 GPCs' Trading Multiple and Financials

Ticker	EV (USD)	TTM Revenue (USD)	EV/Rev
NOC-US	84,364,068,122	42,955,156,000	1.96
MOG.A-US	7,118,260,186	3,667,162,000	1.94
RDW-US	1,308,981,333	277,704,000	4.71
RKLB-US	12,314,601,514	466,016,000	26.43
LUNR-US	1,465,362,966	217,456,000	6.74
SPCE-US	59,297,252	5,512,000	10.76
SIDU-US	23,675,605	3,860,985	6.13
LHX-US	57,412,298,995	21,246,000,000	2.70
LMT-US	130,906,686,074	71,811,000,000	1.82
Valuation Multiple Summary			**TTM EV/Rev**
10th percentile			1.92
25th percentile			1.96
Average			7.02
Median			4.71
75th percentile			6.74
90th percentile			13.89
Adopted (75th percentile)			**6.74**

1) Source from FactSet as of the Valuation Date. EV is calculated as (Market Capitalization as of or closest and prior to the Valuation Date + Debts + Lease Liabilities + Preferred Stock + Minority Interest – Cash and Cash Equivalent – Investments), with reference to the precedent financial report sourced from FactSet.

2.3 Volatility of GPCs

The list of GPCs based on the above selection criteria is considered to be exhaustive. The list of the GPCs and their 5-year volatility as of the Valuation Date is as follows:

Ticker	5-Year Equity Volatility	Debt/Equity	5-Year Asset Volatility	Trading days	Inclusion
NOC-US	24.76%	23.83%	20.00%	1,257	Y
MOG.A-US	34.13%	23.15%	27.71%	1,257	Y
RDW-US	83.38%	23.58%	67.47%	1,099	Y
RKLB-US	75.73%	3.96%	72.85%	1,132	Y
LUNR-US	185.33%	2.79%	180.30%	771	N
SPCE-US	96.10%	368.93%	20.49%	1,257	Y
SIDU-US	239.29%	38.85%	172.34%	868	Y
LHX-US	24.29%	26.82%	19.15%	1,257	Y
LMT-US	21.93%	17.97%	18.59%	1,257	Y
Summary					
Mean	74.95%		52.32%		
Median	54.93%		24.10%		
25th percentile	24.64%		19.78%		
75th percentile	86.56%		68.81%		
Adopted	**86.56%**		**68.81%**		

1) Source from FactSet as of Valuation Date

Appendix 3 Option Pricing Model to Allocate Value

3.1 Capitalisation Table

Before carrying out the breakpoint analysis, the detail regarding individual equity classes is considered and summarised as below:

Class	Investment amount	No. of stocks	LP right[1]	LP Seniority[2]	Conversion right[3]	Price[4]	% Fully Diluted
Common Stock	$-	11,629,445	No	N/A	No	$-	98.98%
Convertible Notes[5]	$1,130,303	120,245	Yes	1	Yes	$9.40	1.02%

Source: Management's advice and Cap-Table.

1. *Liquidation Preference (LP) Right: 'Yes' indicates the equity class has liquidation preference*
2. *LP Seniority: Rank in ascending order, with 1 being the most senior equity class*
3. *Conversion Right: 'Yes' indicates the equity class can convert or exercise to common stocks of the company*
4. *Price: The price at which Preferred Stock converts, or Option (and/or Warrant) exercises, 'FMV' indicates the exercise price is based on the Fair Market Value of common stock.*
5. *Convertible Notes are treated as converted in our analysis.*

3.2 Breakpoint Analysis

The first step in applying the option pricing method is to determine the claims on the equity value and the resulting "breakpoints" or "transition points at which the different classes of equity would benefit. The transition points used in the model are the theoretical liquidation values beyond which the allocation of value changes, based on the liquidation preferences, dividend, participation rights and conversion rights of the preference and other types of equity classes.

These breakpoints represent thresholds at which the relative allocation of value changes between the classes. The breakpoint points for the Company are as:

Breakpoint	Transition Value	Transition Price	Description of Event
#1	$-	$-	Convertible Notes repayment
#2	$1,130,303	$9.40	Common Stock participate
#3	$110,447,089	Infinity	Convertible Notes convert

DRAFT

3.3 Option Pricing Method- Option Value and Distribution of Value

Call Option Tranche	Current Equity Value	Strike Price	Maturity	Risk Free Rate	Volatility	Option Value	Transition Band Value
TR 1	$166,288,328	$-	5	3.96%	68.81%	166,288,328	926,070
TR 2	$166,288,328	$1,130,303	5	3.96%	68.81%	165,362,258	51,473,659
TR 3	$166,288,328	$110,447,089	5	3.96%	68.81%	113,888,599	113,888,599

1) *Refers to expected time to exit.*
2) *Risk-free Rate: 5-year US treasury yield as of the Valuation Date, sourced from FactSet.*
3) *The 5-year 75th percentile historical asset volatility of the GPCs sourced from FactSet.*
4) *Incremental Value$_n$ – calculated as Call Option Value of Breakpoint$_n$ – Call Option Value of Breakpoint$_{n+1}$. This value indicates the fund distributable to equity classes that are engaged in Breakpoint$_n$.*

3.4 Distribution of Value

Equity Classes	1	2	3
Common Stock	-	100.00%	81.11%
Convertible Notes	-	-	18.89%
Total	**0.00%**	**100.00%**	**100.00%**

The value distributed to individual equity class in each breakpoint is presented below:

Equity Classes	1	2	3
Common Stock	-	51,473,659	92,376,448
Convertible Notes	-	-	21,512,151
Total	**-**	**51,473,659**	**113,888,599**

3.5 Valuation of Each Equity Class

Share Class	Total Value	No. of Stock	PPS	DLOM (50%)	FMV of share
Common Stock	**$164,196,735**	**11,629,445**	**$14.12**	**$(7.06)**	**$7.06**
Convertible Notes	$2,091,593	120,245			
Total	**$166,288,328**	**11,749,690**			

As shown the calculations above, the Common Stock of the Company is **$7.06** per share.